



Federal Bank's numbers were above our estimates on the profitability front mainly due to lower provisions (Credit Cost stood at 0.6% vs 0.9% QoQ) and stable margin (NIM 3.27% vs 3.20% QoQ), though the operating performance was below our expectations, mainly due to higher operating expenses (opex to assets stood at 2.1% vs 2.0% QoQ).

- **NII** came in at **INR 15.39 Bn**, +4.0% QoQ / +7.1% YoY
- **Other Income** came in at **INR 4.84 Bn**, -1.5% QoQ / +1.9% YoY
- **PPOP** came in at **INR 9.14 Bn**, 0.2% QoQ / -4.4% YoY
- **Provisions** came in at **INR 2.14 Bn**, INR -26.9% QoQ / -48.3% YoY
- **PAT** came in at **INR 5.24 Bn**, +13.8% QoQ / +29.6% YoY
- **EPS** stood at **INR 2.5** vs **INR 2.2** / **INR 2.0** in **Q2FY22** / **Q3FY21** respectively.

Financial Highlights

- Bank's asset quality improved during Q3FY22, with GNPA's sequentially down by 18 bps at 3.06% and NNPA's down by 7 bps to 1.05%. Collection Efficiency - stable at 96%; SMA 1 & SMA 2 stood at ~4.5-5%.
- Strong recovery/ upgradation and cash recovery on sale of a large account to ARC, helped bring down credit cost in Q3FY22. The bank expects steady state credit cost of ~60-70 bps. Annualized gross slippage ratio stood at 1.3% (Rs 4.42 Bn) vs 1.0% (Rs 3.2 Bn) QoQ, with recoveries and upgrades at Rs 4.91 Bn vs Rs 4.23 Bn QoQ.
- Covid specific restructuring as on Q3 FY22 stood at 2.49% of loans; out of which 98% is secured. Bank holds Rs 11.30 Bn (0.8% of advances) standard restructuring provisions. PCR stood at 66.6% in Q3FY22 vs 66.2% QoQ.
- Bank's advances stood at Rs 1407.43 Bn (12.1% YoY/4.7% QoQ). Out of which, retail advances grew by 8% YoY/3% QoQ, agri business by 18%YoY/3% QoQ and business banking by 11% YoY/5% QoQ, while corporate book grew by 12% YoY/4% QoQ and commercial banking up by 14% YoY/7% QoQ. Bank has onboarded 53 new clients in CIB and 71 new clients in corporate banking, across business groups, geographies and sectors during Q3FY22.
- On the liability side, deposits grew by 8.5% YoY/2% QoQ in Q3FY22 led by CASA growth of 15.4% YoY/3.5% QoQ taking CASA ratio at 36.7% (Vs 34.5% YoY). Bank's capital adequacy ratio stood at 14.4% (vs 15% QoQ), of which Tier I capital was 13.5% (vs 14.1% QoQ) and Tier II capital was 0.9% (vs 0.9% QoQ).

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21	FY22E	FY23E
NII	46.5	55.3	62.5	73.8
Net profit	15.4	15.9	19.8	25.3
Net worth	145	161	188	210
Adj BVPS	65	73	81	91
EPS (Rs)	7.7	8.0	9.4	12.0
P/ABV (x)	1.5	1.3	1.2	1.1
P/E (x)	12.4	12.0	10.2	8.0
RoA (%)	0.9	0.8	0.9	1.0
RoE (%)	11.1	10.4	11.3	12.7

Source: Dalal & Broacha Research, Company

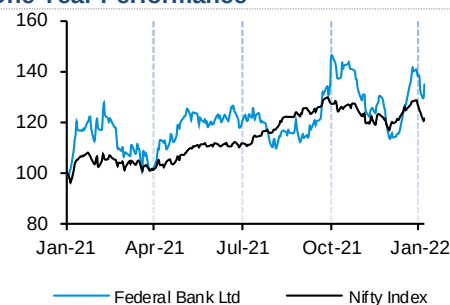
Rating	TP (Rs)	Up/Dn (%)
BUY	118	23

Market data

Current price	Rs	96
Market Cap (Rs.Bn)	(Rs Bn)	201
Market Cap (US\$ Mn)	(US\$ Mn)	2,702
Face Value	Rs	2
52 Weeks High/Low	Rs	108/ 69
Average Daily Volume	('000)	18,108
BSE Code		500469
Bloomberg		FB.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
FII	25.9	24.1
DII	42.5	43.9
Others	31.6	32.1
Total	100	100

Source: BSE

Avinash Tanawade

(022) 67141449

avinash.tanawade@dalal-broacha.com

- Operational efficiency deteriorated, with cost to income ratio stood at 54.8% (+108 bps QoQ), backed by lower net income (NII + other income) growth of 4% QoQ vs opex growth of 4.7% QoQ in Q3FY22.
- Given strong traction in high yield business such as commercial vehicles, gold loans, business banking, credit cards, the bank expects NIM to improve by 5 Bps in upcoming quarters.
- There has been some rise in wages but the bank sees this trending down in coming two to three quarters. Bank expects its cost to income ratio to improve by 200 bps in FY23 and FY24.

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Valuation and outlook

We like Federal bank for its healthy liability franchise (94% retail Deposit), increasing retail focus, strong fee income, and prudent provisioning. We also take comfort from its tier-1 capital ratio (13.5%) and healthy core operating profit, which provide an additional buffer to cushion any adverse effect of sudden spikes in slippages. We expect the bank's RoA/RoE to be around 0.9%/11.3% in FY22 and recover back to 1%/12.7% in FY23. At CMP the stock trades at 1.2x its FY22E ABV and 1.1x its FY23E ABV.

We assign a BUY rating with a Target Price of Rs 118/share, valuing the stock at a target multiple of 1.3x FY23E ABV.

Highlights of the Conference Call

Asset Quality

- Strong recovery/ upgradation and cash recovery on sale of a large account to ARC, helped bring down credit cost in Q3FY22.
- Collection Efficiency - stable at 95-96%; SMA 1 & SMA 2 stood at ~4.5-5%
- Bank's restructuring book (2.45% of gross advances) is behaving well and is 98% secure.
- Bank holds Rs 11.30 Bn standard restructuring provisions.
- ECLGS book stood at Rs 36.50 Bn; Slippages from ECLGS book was ~2.12% in Q3FY22.

NIMs and Cost of deposits

- Given strong traction in high yield business such as commercial vehicles, gold loans, business banking, credit cards, the bank expects NIM to improve by 5 Bps in upcoming quarters.
- Cost of deposits is mostly bottom out and has limited room for the downside.

Basic Guidance

- Bank is targeting 1.2% RoA in the next four to five quarters.
- Cost to income ratio will likely to improve by 200 bps in FY23
- NIMs will be in the range of about 3.2% to 3.3% or so
- A normalised credit cost on an annualised basis of ~ 60-70 bps.
- Bank aims 'mid-teen' growth in credit for FY23

Credit Portfolio

- Bank remained cautious on the unsecured portfolio, but as things improved personal loan disbursement started picking up from Q3FY22.
- Normally in pre-covid times, personal loan disbursement used to be Rs one billion per month. These loans are digitally originated and largely cross sell to existing client base.
- 40% of the bank's book is EBLR (External Benchmark Lending Rate) - Linked.
- Gold loan will likely to grow between 10-15% range in FY22 and mid- twenties range in FY23
- MFIs, Credit cards and commercial vehicles all together stood at ~Rs 20 Bn and can grow up to Rs 70-75 Bn in next two years.

Liability

- Bank's capital and liquidity position is strong and would continue to be the focus area.
- Retail deposits stood at 94% of total deposits; CASA Ratio at all time high level of 36.68%.
- Fintech partnerships progressing well and contributing to 75%+ of new accounts booked.

Digital Update

- Bank has tied up with two Standalone Health Insurance partners (Star Health Insurance & Aditya Birla Health Insurance).
- Disbursals through Fintech enabled Gold and Micro lending platforms crossed Rs 45.00 Bn

Exhibit 1:Financials

Rs Mn	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q2FY22
Interest Earned	34595	33663	33557	33793	34426
Interest Expended	20225	19460	19373	18998	19037
NII	14370	14204	14184	14794	15389
Other Income	4754	4654	5518	4917	4842
Net Income	19124	18858	19702	19711	20231
Opex	9560	10007	9334	10590	11088
PPOP	9564	8851	10368	9121	9143
Provisions	4142	2423	5435	2926	2140
PBT	5423	6428	4934	6195	7003
Tax	1382	1650	1261	1592	1765
PAT	4041	4778	3673	4603	5238
Balance Sheet					
Net-worth	156450	161236	164880	177270	182520
Deposits	1616700	1726445	1693930	1719948	1754320
Advances	1255050	1318786	1297650	1344046	1407430
Growth (%)					
NII	24.4	16.8	9.4	7.2	7.1
PPOP	28.6	-7.7	11.2	-3.6	-4.4
PAT	-8.3	58.6	-8.4	49.6	29.6
Deposits	11.8	13.4	9.3	9.7	8.5
Advances	5.3	7.9	7.0	9.4	12.1
Efficiency (%)					
GNPA	2.7	3.4	3.5	3.2	3.1
NNPA	0.6	1.2	1.2	1.1	1.0
PCR	78.2	65.9	65.7	66.2	66.6
Credit Cost (annualized)	1.3	0.7	1.7	0.9	0.6
C/I Ratio	50.0	53.1	47.4	53.7	54.8
CASA	34.5	33.8	34.8	36.2	36.7
NPA Composition					
Retail	19	27	28	27	27
Agri	15	16	18	19	19
Business banking	37	18	20	20	21
Wholesale	29	40	34	34	20

Source: Dalal & Broacha Research, Company

Exhibit 2:

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	132.1	137.6	158.0	195.5
Interest expense	85.6	82.2	95.5	121.7
NII	46.5	55.3	62.5	73.8
Non-interest income	19.3	19.4	21.8	25.8
Net revenues	65.8	74.8	84.3	99.6
Operating expenses	33.8	36.9	42.7	48.8
PPOP	32.0	37.9	41.6	50.7
Provisions	11.7	16.5	15.1	16.9
PBT	20.3	21.4	26.5	33.8
Tax	4.9	5.5	6.7	8.5
PAT	15.4	15.9	19.8	25.3

Balance sheet	FY20	FY21	FY22	FY23
Share capital	3.99	3.99	4.20	4.20
Reserves & surplus	141.2	157.2	184.0	206.3
Net worth	145.2	161.2	188.2	210.5
Deposits	1522.9	1726.4	2020.4	2396.5
Borrowings	103.7	90.7	91.8	96.6
Other liability	34.6	35.3	37.6	42.0
Total liabilities	1806.4	2013.7	2338.0	2745.6
Fixed assets	4.8	4.9	5.1	5.2
Investments	358.9	371.9	455.0	561.6
Loans	1222.7	1318.8	1544.7	1835.6
Cash	125.7	195.9	223.9	228.5
Other assets	94.2	122.2	109.3	114.7
Total assets	1806.4	2013.7	2338.0	2745.6

Source: Dalal & Broacha Research, Company

Exhibit 3:

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	11.3	19.0	12.9	18.1
PPOP	16.0	18.2	9.9	21.9
PAT	24.0	3.1	24.6	27.6
Advances	10.9	7.9	17.1	18.8
Deposits	12.8	13.4	17.0	18.6
Spread (%)				
Yield on Funds	8.2	7.7	7.7	8.1
Cost of Funds	5.6	4.8	4.9	5.3
Spread	2.6	2.9	2.8	2.8
NIM	2.9	3.1	3.0	3.0
Asset quality (%)				
Gross NPAs	2.8	3.4	3.3	2.9
Net NPAs	1.3	1.2	1.1	1.1
Provisions	53	66	66	62
Return ratios (%)				
RoE	11.1	10.4	11.3	12.7
RoA	0.9	0.8	0.9	1.0
Per share (Rs)				
EPS	8	8	9	12
BV	73	81	90	100
ABV	65	73	81	91
Valuation (x)				
P/E	12.4	12.0	10.2	8.0
P/BV	1.3	1.2	1.1	1.0
P/ABV	1.5	1.3	1.2	1.1

Source: Dalal & Broacha Research, Company

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Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Analyst	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com